

₹3500	Profit/Loss $= \text{Profit/Loss on Cash Position} + \text{Profit/Loss on Selling Call Options}$ $= (\text{₹3500} - \text{₹3000}) + (\text{₹150})$ $= \text{₹500} + \text{₹150}$ $= \text{₹650} \quad \text{MAXIMUM PROFIT}$ ₹650 is also the maximum profit that the man can make.	We see that the man has made a profit of ₹500 on each share that he owned. Also, he received ₹150 as premium on each call option sold. We can see that the man made a profit of ₹650 on each share.
₹4000	Profit/Loss $= \text{Profit/Loss on Cash Position} + \text{Profit/Loss on Selling Call Options}$ $= (\text{₹4000} - \text{₹3000}) + (\text{₹3500} - \text{₹4000} + \text{₹150})$ $= \text{₹1000} - \text{₹350}$ $= \text{₹650}$	The man has a profit of Rs. 1000 on each share. However, he also has a payoff to make of Rs. 500 on each option sold. Besides, he received Rs. 150 as premium. The total profit is Rs. 650 per unit of share. We can see that despite increase in share value, the total profit is same. We can say that the profits in this strategy gets limited.
₹3000	Profit/Loss $= \text{Profit/Loss on Cash Position} + \text{Profit/Loss on Selling Call Options}$ $= (\text{₹3000} - \text{₹3000}) + (\text{₹150})$ $= \text{₹0} + \text{₹150}$ $= \text{₹150}$	We can see that even when there is no change in share value, because the man has received upfront premium, he will make a profit of ₹150.

The payoff chart of the same can be drawn as under. We have Price on the X-axis and Profit or Loss on the Y-axis. The straight line indicates the maximum profit. The sloping line shows how the losses are reduced by ₹150 but, can go down to unlimited.

